

4.5 Fact 5: Labor market adjustments are visible in employment more than compensation

In addition to employment we observe workers’ annual base compensation. We use this information to test for labor market adjustment along the compensation margin.²⁰ Salary data are deflated to 2017 dollars using the PCE index.²¹

Results for various occupations are in Figure A11. The findings indicate less divergence in compensation compared to employment across more and less exposed occupations. Figure 5 shows results by age and Eloundou et al. (2024)-based exposure quintile. We find little difference in compensation trends by age or exposure quintile.

Prior work by Autor and Thompson (2025) notes that technology that replaces inexpert tasks may reduce occupational employment but increase occupational wages; technology that replaces expert tasks may do the opposite. The sign of the wage effect depends on the overall share of tasks displaced as well as the whether these tasks are expert or inexpert. The limited changes we find for wages suggest that these effects may be offsetting, at least in the short run. Alternatively, the results could be explained by wage stickiness in the short run, consistent with recent evidence from Davis and Krolikowski (2025).

4.6 Fact 6: Findings are largely consistent under alternative sample constructions

We test the robustness of these results to alternative sample constructions and robustness checks.

Excluding Technology Occupations One possibility is that our results are explained by a general slowdown in technology hiring from 2022 to 2023 as firms recovered from the COVID-19 Pandemic.²² Figure A12 shows employment changes by age and exposure quintile after excluding computer occupations, corresponding to 2010 SOC codes that start with 15-1. Figure A13 shows results when excluding firms in information technology or computer systems design (NAICS codes

²⁰Total compensation may additionally include bonuses, overtime pay, commissions, equity, tips, and other items. These may have a greater impact on overall compensation in certain professions and age groups than others.

²¹In contrast to the series for employment, results for compensation end in August 2025, the most recently available month for the PCE index.

²²Under the Tax Cuts and Jobs Act, amendments to Internal Revenue Code §174 enacted in 2022 also disallowed companies from immediately deducting R&D expenditures, including software development costs.